

**JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION SPE7LX24RX038**

☒ **ORIGINAL**

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity.
2. The action being approved is the acquisition of supplies on an other-than full and open competition basis. **FAR 13.5** procedures are being used for an **Indefinite Delivery Contract** with a **3-year** base period and **2 one-year** option periods.
3. The supplies required to meet the using activity's needs are shown below.

NSN Data:

NSN (see table)

AMC/AMSC=**3-B**: Procured by Source Control Drawings

Approved Source: **(0BXW5) Governors America Corp.**

QCC=

DAA: Standard Inspection with no additional requirements

EAA: Tailored Higher Level Contract Quality

NSN	Item Name	Estimated Annual Quantity	Est Annual Value	Contract Maximum	QCC
2910014701941	ACTUATOR, ELECTRO-MECHANICAL	285			DAA
2990014771371	CONTROL UNIT, GOVERNOR	886			DAA
5998014664726	PRINTED WIRING BOARD	88			EAA
		Totals			

Identify end item, weapon system, or class of item: **Tactical Quiet Generators (TQGs) used by the Army.**

ESTIMATED ANNUAL DOLLAR VALUE: \$

ESTIMATED BASE VALUE (3-Year Base Period):

MAXIMUM CONTRACT VALUE: \$

4. The statutory authority permitting other than full and open competition is:

10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources.

5. A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires use of the authorities cited in paragraph 4:

These parts are for generators that have improved survivability through noise reduction, since they may be used during battle. Nuclear Hardness and Survivability (NH&S) requirements apply, and nuclear hardness levels must be quantified and validated. The parts being procured have the same or similar form, fit, and function as their commercial counterparts. Whereas the commercial generators and parts must be able to go through environmental stressors, these military generators and parts must be rugged enough to withstand the effects of nuclear detonation without internal malfunction or performance degradation.

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There is only one approved source listed in the source control drawings, (0BXW5) Governors America Corp. Any alternate sources must be approved the Engineering Support Activity on the source control drawings.

Suitable technical data, Government data rights, or manufacturing knowledge are not available to permit acquisition from other sources, nor qualification testing of another part, nor use of a second source part in the intended application. Therefore, the approved part numbers must be procured to ensure proper functioning of the generators.

The Product Specialist certified that the technical information, including the approved source and AMC/AMSC codes, is complete and accurate on **2/27/2024**. The PS also certified that DLA does not possess adequate data, lacks rights to data, and has no record of an alternate approved source. The data presently available reflects the minimum needs of the Government.

The procurement item descriptions (PIDs) are included as **Attachment 1**.

The use of the authority cited is based on:

AMC 3. Acquire, for the second or subsequent time, directly from the manufacturer.

AMSC B. This part must be acquired from a manufacturing source(s) specified on a source control or selected item drawing as defined by the current version of DoD-STD-100. Suitable technical data, Government data rights, or manufacturing knowledge are not available to permit acquisition from other sources, nor qualification testing of another part, nor use of a second source part in the intended application. Although, by DoD-STD-100 definition, altered and selected items shall have an adequate technical data package, data review discloses that required data or data rights are not in Government possession and cannot be economically obtained. If one source is available, AMCs 3, 4, or 5 are valid. If at least two sources exist, AMCs 1 or 2 are valid.

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

The acquisition will be synopsisized on or about **6/28/2024**, at least seven days before the solicitation issue date to publish the new consolidation. On its Issue Date, on or about **7/8/2024**, the solicitation will be posted to DIBBS for 30 days for other interested businesses to access.

A sources sought notice was posted on **4/18/2024** for 5 business days to locate sources interested in becoming approved sources and companies who wish to participate in this solicitation by providing the approved parts.

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7. I hereby determine that the anticipated cost to the Government will be fair and reasonable.

Cost or pricing data will not be required, since these items will be solicited using commercial procedures, which satisfies the exception for cost or pricing data listed at FAR 15.403-1 (b) (3). However, other information will be requested if needed. Per FAR 15.404-1(a)(2), a price analysis will be conducted. The price analysis will be performed using pricing from past procurements, which were determined fair and reasonable. That pricing will be adjusted by Producer Price indexes (PPIs) and learning curve analysis, as necessary, for comparison with proposed prices for this procurement. Negotiations will be held if needed. Other techniques may be applied as needed.

By using the above techniques, the Contracting Officer anticipates that the cost to the Government will be fair and reasonable.

8. Market Research/Efforts to Obtain Competition:

The Sources Sought notice was issued through SAM.gov on 4/18/2024 to locate sources interested in becoming approved sources and sources interested in proposing on the solicitation. The notice closed on 4/25/2024. A response was received from BHPE LLC (9SWS7), SDVOSB, stating that they are interested in the solicitation and will be providing the approved CAGE and part numbers.

The Contracting Officer sent market surveys to sources in the procurement history: approved source, Governors America Corporation (0BXW5), and dealers Statz Corporation (3WGD1), Universal Spartan, LLC (6Z5K7) and Blue Cord Logistic Strategies, Inc (7MBP0). Governors America replied stating that Hawkeye Innovation, LLC (80FR4) is their exclusive dealer, even though many other dealers have provided these items. Governors America said they presume the other dealers got the items from Hawkeye Innovation and then sold them to the Government.

Hawkeye Innovation (80FR4), VOSB, replied 4/18/2024, stating that they are interested in a LTC solicitation for these items. [REDACTED]

[REDACTED] Hawkeye indicated that these items are commercial and that they have documentation to show this, if needed. They will support SDVOSB dealers with long-term agreements so those dealers can provide proposals under a SDVOSB setaside for this solicitation.

Market surveys were also received from Statz (3WGD1) and Universal Spartan (6Z5K7). Both sources are SDVOSBs and are interested in a LTC solicitation for these items; [REDACTED] Statz said that these items are not commercial but that they are similar to commercial items. Universal Spartan said that these items are not commercial and that they are not similar to commercial items. [REDACTED]

Contracting Officer Market Research: The Contracting Officer first performed internet research on the end items, the 3kw Tactical Quiet Generator and the 60 kw Tactical Quiet

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Generator. These items (Electro-Mechanical Actuator, Governor Control Unit, and Printed Wiring Board) are very similar to items listed for sale on the internet.

Commercial Determination: On 5/14/2024, the SAPD Product Specialist concurred that this item is commercial and updated the appropriate system fields. Based on this and the information above, the Contracting Officer hereby determines the items being procured to be commercial “of a type” in accordance with the definition at FAR 2.101.

FAR 2.101

“Commercial Product” means

(1) Any item, other than real property, that is of a type customarily used by the general public or by non-governmental entities for purposes other than governmental purposes, and-

(i) Has been sold, leased, or licensed to the general public; or

(ii) Has been offered for sale, lease, or license to the general public.

9. Additional facts supporting other than full and open competition are:

The Product Specialist certified (**Attachment 2**) that DLA does not possess adequate data, lacks rights to data, and/or has no record of an alternate approved source. The data presently available reflects the minimum needs of the Government.

10. A list of business sources indicating an interest in the acquisition:

Hawkeye Innovation, LLC (80FR4), VOSB exclusive dealer for approved source, will support SDVOSB dealers with long-term agreement for SDVOSB setaside.

Statz Corporation (3WGD1), SDVOSB dealer

Universal Spartan, LLC (6Z5K7), SDVOSB dealer

Blue Cord Logistic Strategies, Inc (7MBP0), SDVOSB dealer

BHPE LLC (9SWS7), SDVOSB dealer

11. Actions being taken to overcome barriers to competition:

DLA Procurement Note L22 Restriction of Alternate Offers for Source Controlled Items will be included in the solicitation. This provision explains to offerors that the manufacturer(s) on the source control drawings are the only approved sources, and that DLA will not evaluate alternate offers. It also explains that offerors who are interested in qualifying their product for purposes of future acquisitions must contact the design control activity specified on the source control drawing.

12. Past procurements were under the simplified acquisition threshold, so there are no prior J&As.

Attachments:

1 LTC PID-PKG RX038

2 Tech Cert CL23258004 3 NSNs

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CONTRACTING OFFICER CERTIFICATION & APPROVAL

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief.

HALTEMAN.REBECCA.S.1273657
CCA.S.1273657475

Digitally signed by
HALTEMAN.REBECCA.S.1273657
475
Date: 2024.06.25 10:39:25 -04'00'

614-692-9252

REBECCA S. HALTEMAN & Date
Contracting Officer

Phone

APPROVAL/CERTIFICATION

I have reviewed and approve this justification:

WIEBUSCH.JAMIE.1251897324
IE.1251897324

Digitally signed by
WIEBUSCH.JAMIE.1251897324
Date: 2024.06.25 15:05:24
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Competition Advocate Signature & Date

APPROVAL REQUIREMENTS

- | | |
|---|--|
| ☐ Up to \$750,000 | Contracting Officer |
| ☒ \$750,000 to \$15,000,000 | Competition Advocate |
| ☐ \$15,000,00 –\$100,000,000 | Head of the Contracting Activity (HCA) |
| ☐ over \$100,000,000 | Senior Procurement Executive (AQ) |